

Module 4

The Cash Flow Statement

Learning Objectives

By the end of this module you should understand:

1. The need for a cash flow statement in addition to a profit and loss account and balance sheet
2. That profit is not the same as cash
3. The major sources and uses of cash and how these are compiled into a cash flow statement
4. How to interpret a cash flow statement, in particular the critical importance of cash flow from operations

Agenda

4.1 Introduction

4.2 Why Are Cash Flow Statements Needed?

4.3 What Is 'Cash' in a Cash Flow Statement?

4.4 Cash: Where Does it Come from? Where Does it Go to?

4.5 Eight Major Categories of Cash Flow

4.6 Worked Example with Commentary

4.7 Do-it-Yourself Example

Review Questions

Case Studies

We will use the cash flow statement of the sole trader encountered in Module 1 and analyze how we've derived its main figures

Cash Flow Statement For the Period Actions 1–7

Sources of cash	€	€
Profit from operations	160	
Adjusted for non-cash items: depreciation	50	
		210
Capital introduction	20 000	
Increase in creditors	3 000	23 000
		23 210
Uses of cash		
Purchase of plant	12 000	
Increase in debtors	750	
Increase in inventories	5 500	18 250
Closing balance of cash		€4 960

The cash flow statement portrays only those economic events of a business which affect its cash flows

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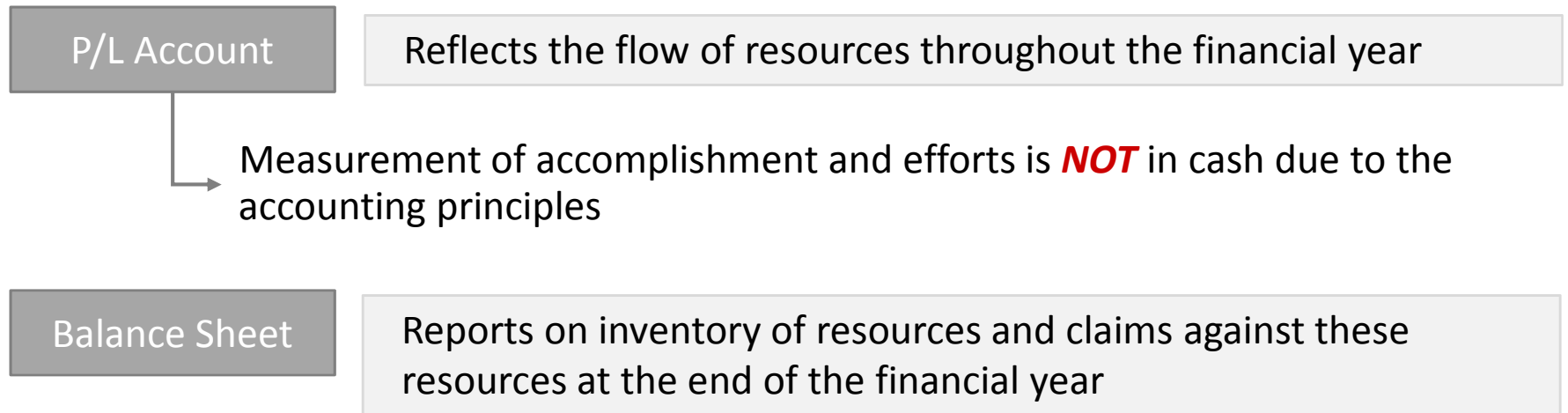
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Review Questions

Case Studies

The P/L Account and the balance sheet are not enough to tell what is going on in an organization



The movement of cash during the accounting period is derived from both the balance sheet and the P/L account

Look at the P/L Account drawn up at the end of Action 7 to see how accounting principles do not consider cash

Profit and Loss Account For the Period Actions 1–7

Sales					750
Less: Cost of sales	Materials	500			
	Labour	20			
	Depreciation	50		570	
Gross profit				180	
Less: Selling and administrative costs	Advertising	10			
	Salaries	10		20	
Net profit				€160	

'Sales' implies that customers have paid €750 for goods and services provided

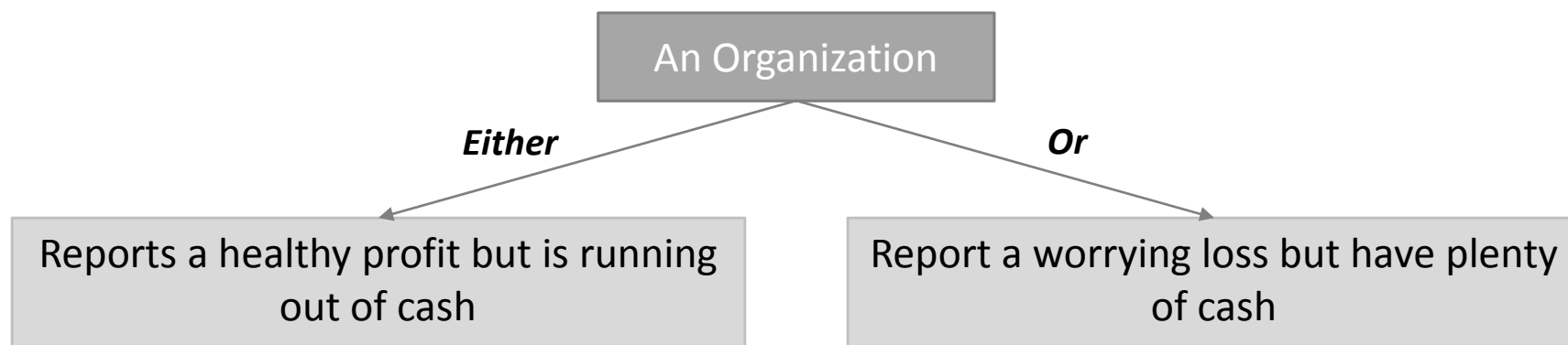
'Depreciation' implies that Co. has paid €50

These are all not true implications, the sales were sold on credit without any cash exchange while the depreciation did not affect cash

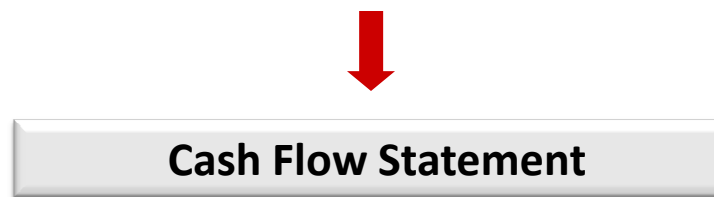


Profit ≠ Cash

Cash flow statements are needed to 'unstitch' the accounting principles applied in compiling balance sheets and P/L accounts



Users of financial statements, including managers, need a reconciliation between profits and cash



Reveals whether the entity has sufficient cash funds to finance its future operations and its future ambitions for dividend payments

Managers and other users of company financial statements want answers to the following range of questions

1

**Operational
Well-being**

Do the normal trading operations generate sufficient funds to enable the company to continue paying dividends?

2

**Source of
Dividend
Payments**

Have the dividends paid this year based on this year's profits been paid out of cash generated from operations or from money borrowed?

3

**Funding of
Asset Acquisitions**

Where did the money for asset acquisition come from? From operations or from borrowings?

4

**Company
Solvency**

Is the company solvent? That is, has it sufficient liquid assets to meet its short term obligations?

5

**Extent of
Borrowing**

Why does the company seem to borrow so much when it's making so much profit?

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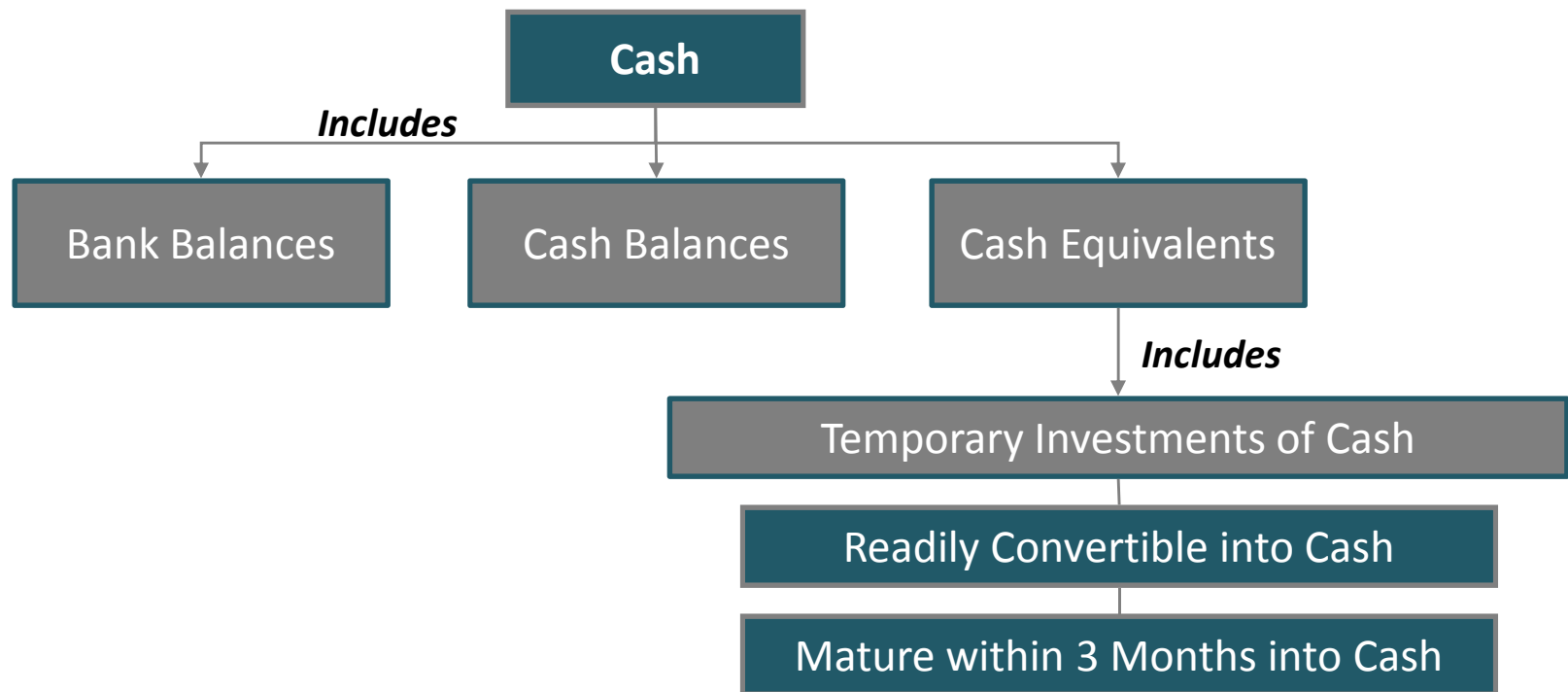
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Case Studies

Detailed accounting rules expand at length on the definition of cash



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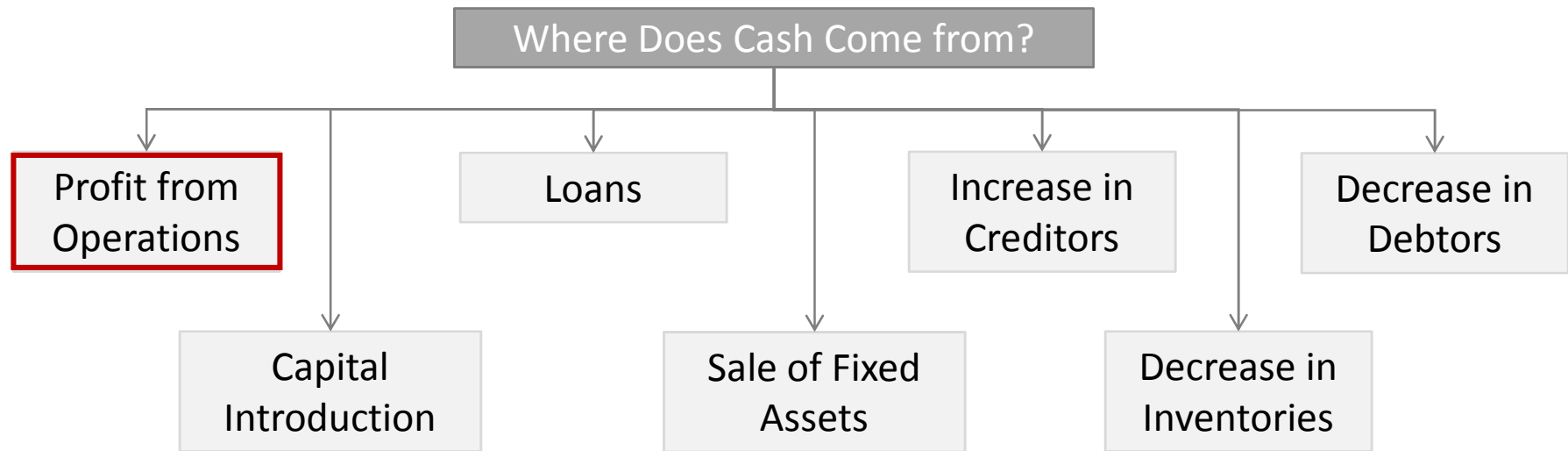
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Review Questions

Case Studies

In this part we will see some of the possible sources of cash



Profit is the best starting point for determining cash from operating activities; but still adjustments have to be made to it

Adjustments to Profit

Depreciation

Add

Depreciation reduces profits but has no impact on cash

Bad Debts Provisions

Add

It is charged against profits but has no impact on cash (the cash left the company a long time ago when the goods were made and sold)

Profit on Sale of asset

Deduct

The total receipt of the cash from the party who purchased the asset is a source of cash, and not the gain alone

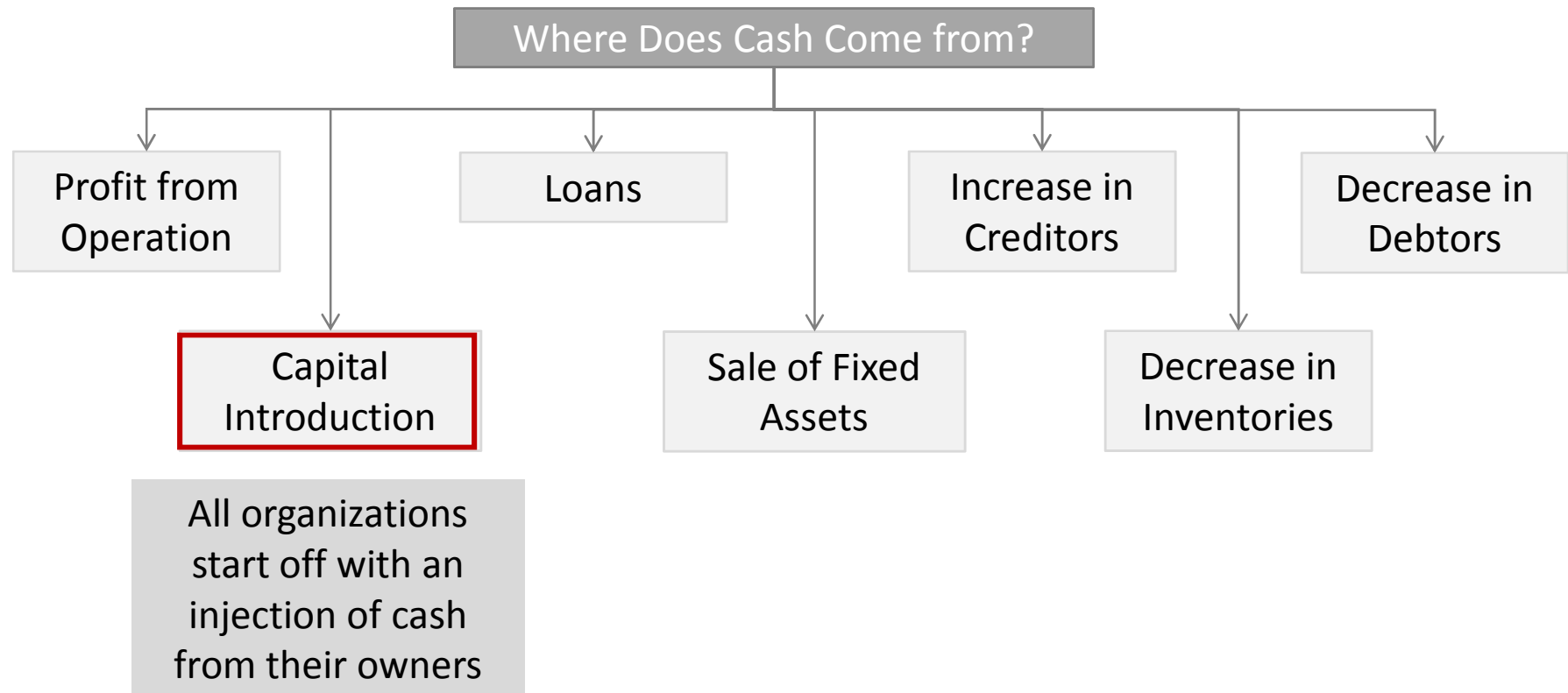
It does not matter how much depreciation is charged to a company's P&L – its cash flow outcome is the same

Illustration

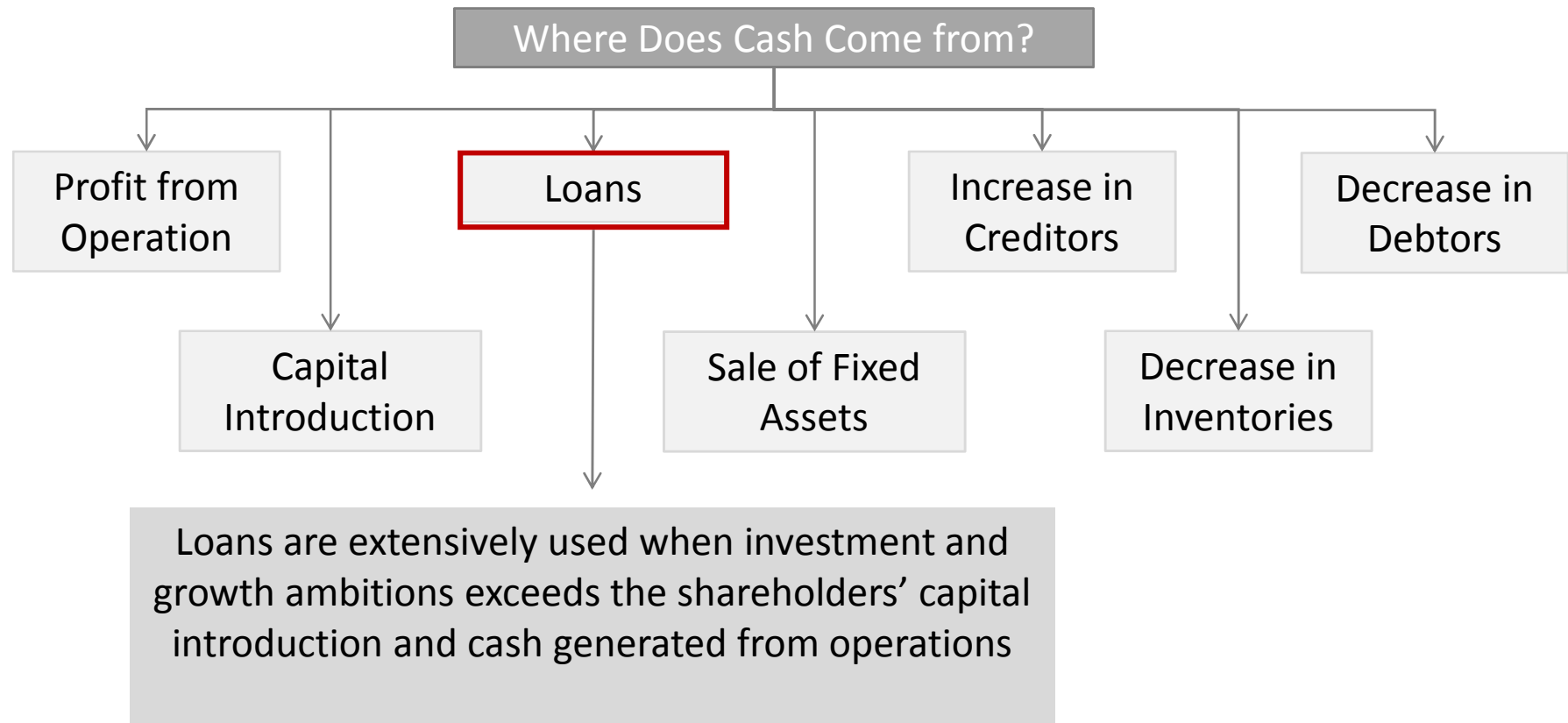
Let us assume both companies operate identical businesses except for depreciation rates. Company 1 writes off its assets over ten years and company 2 over four years.

<i>Extract P&L</i>	Company 1	Company 2
Profit before depreciation	€1 000	€1 000
Depreciation	100	250
Profit after depreciation	€ 900	€ 750
<i>Extract cash flow calculation: cash from operations</i>		
Profit after depreciation	€ 900	€ 750
Add back depreciation	100	250
Cash from operations	€1 000	€1 000

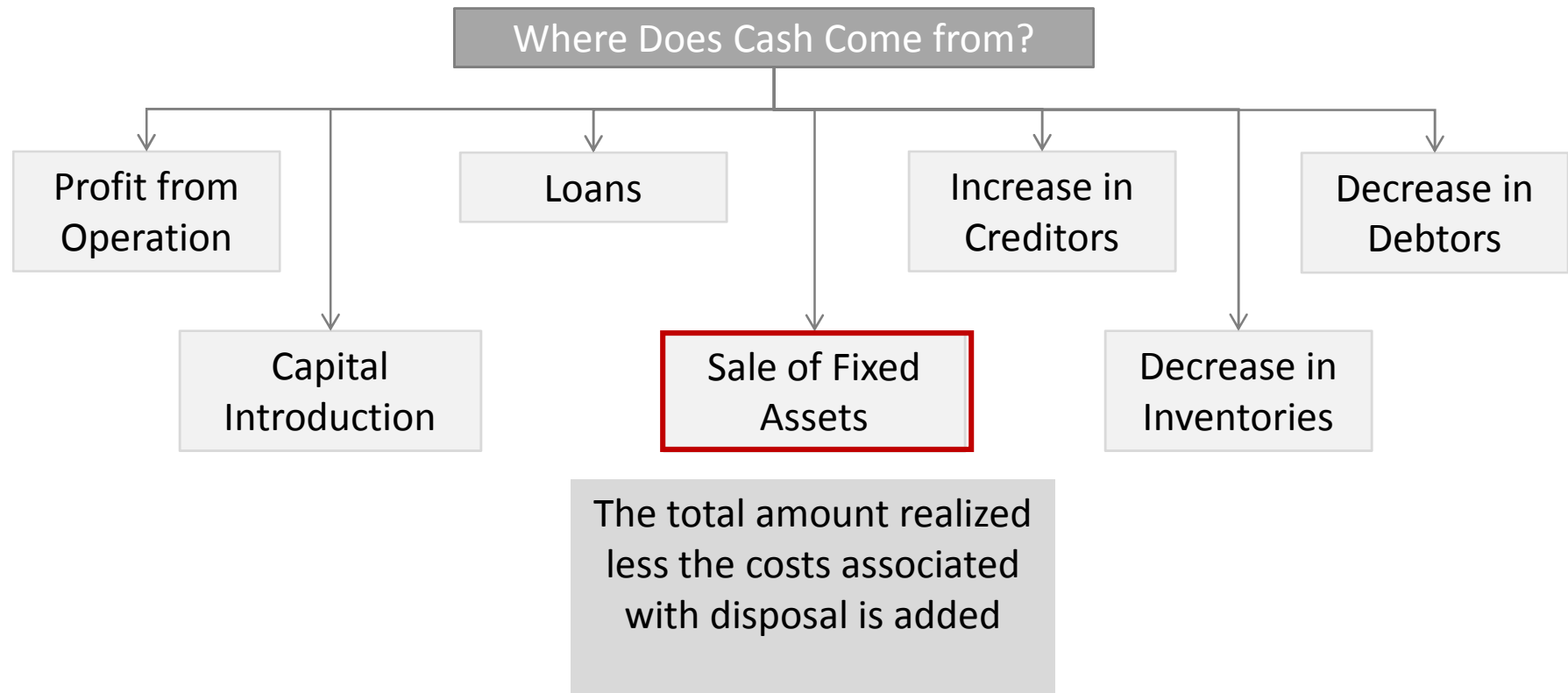
Possible sources of cash (Continued)



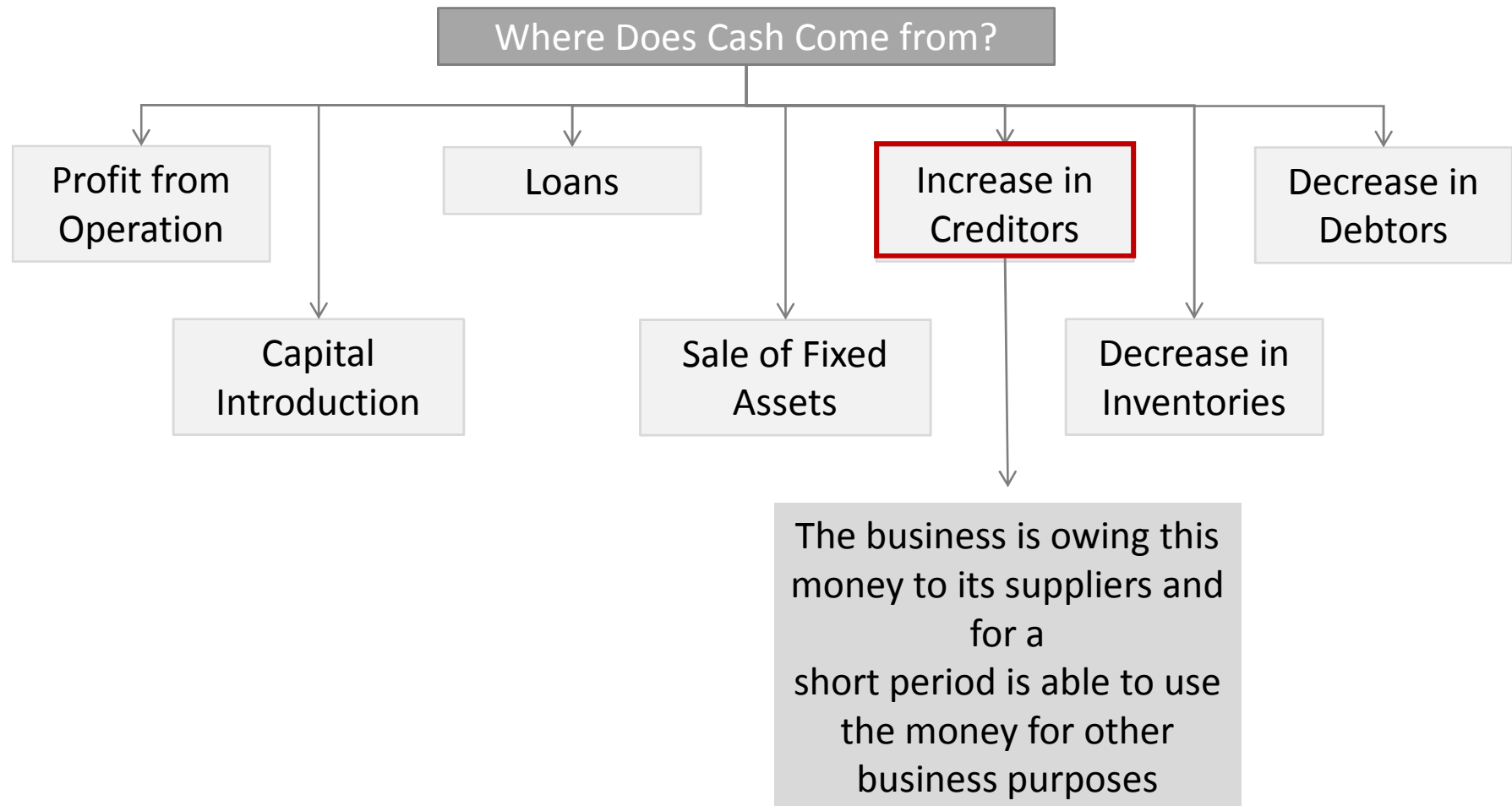
Possible sources of cash (Continued)



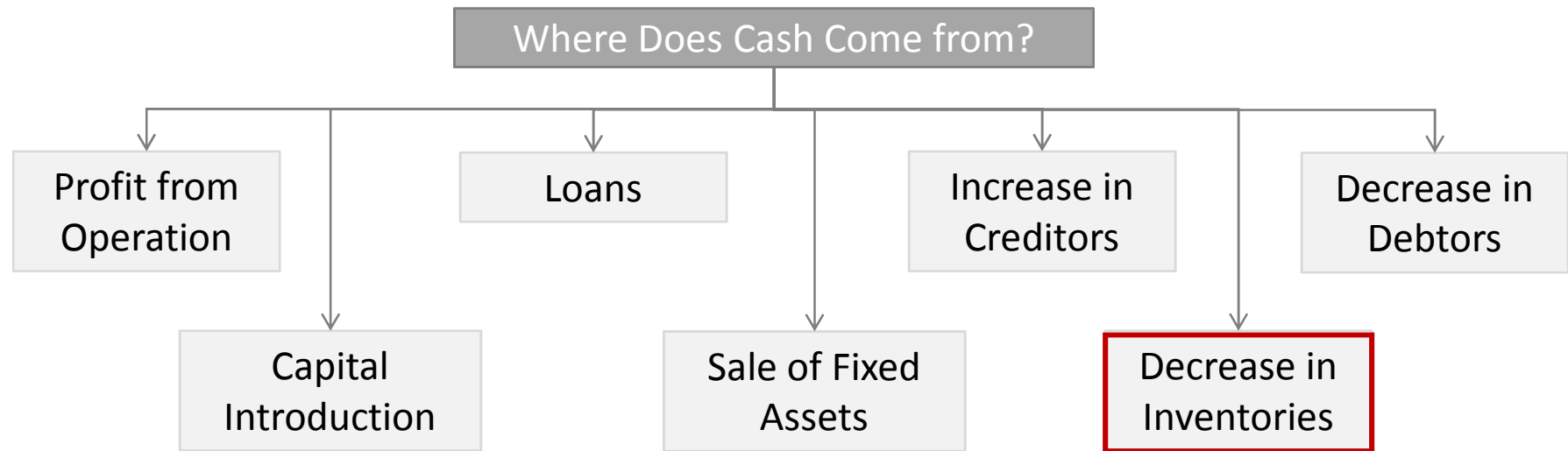
Possible sources of cash (Continued)



Possible sources of cash (Continued)

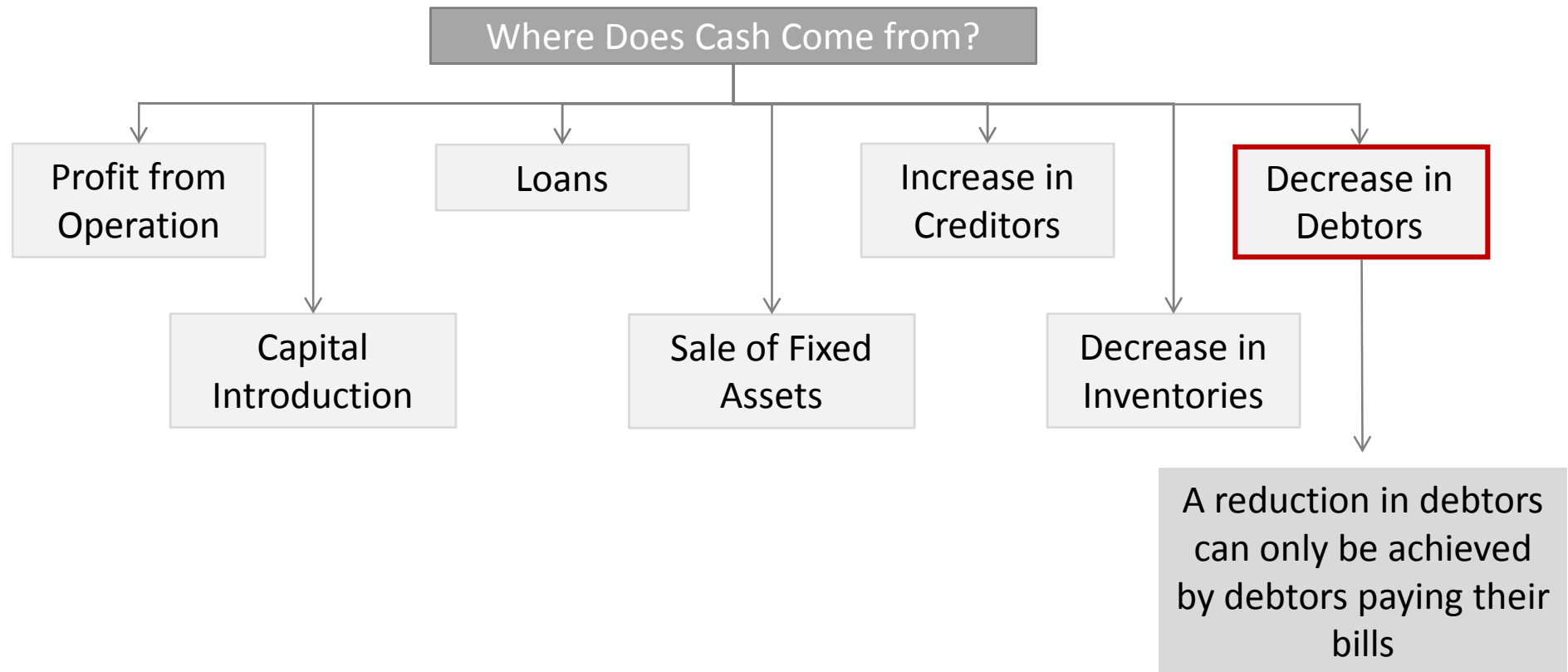


Possible sources of cash (Continued)

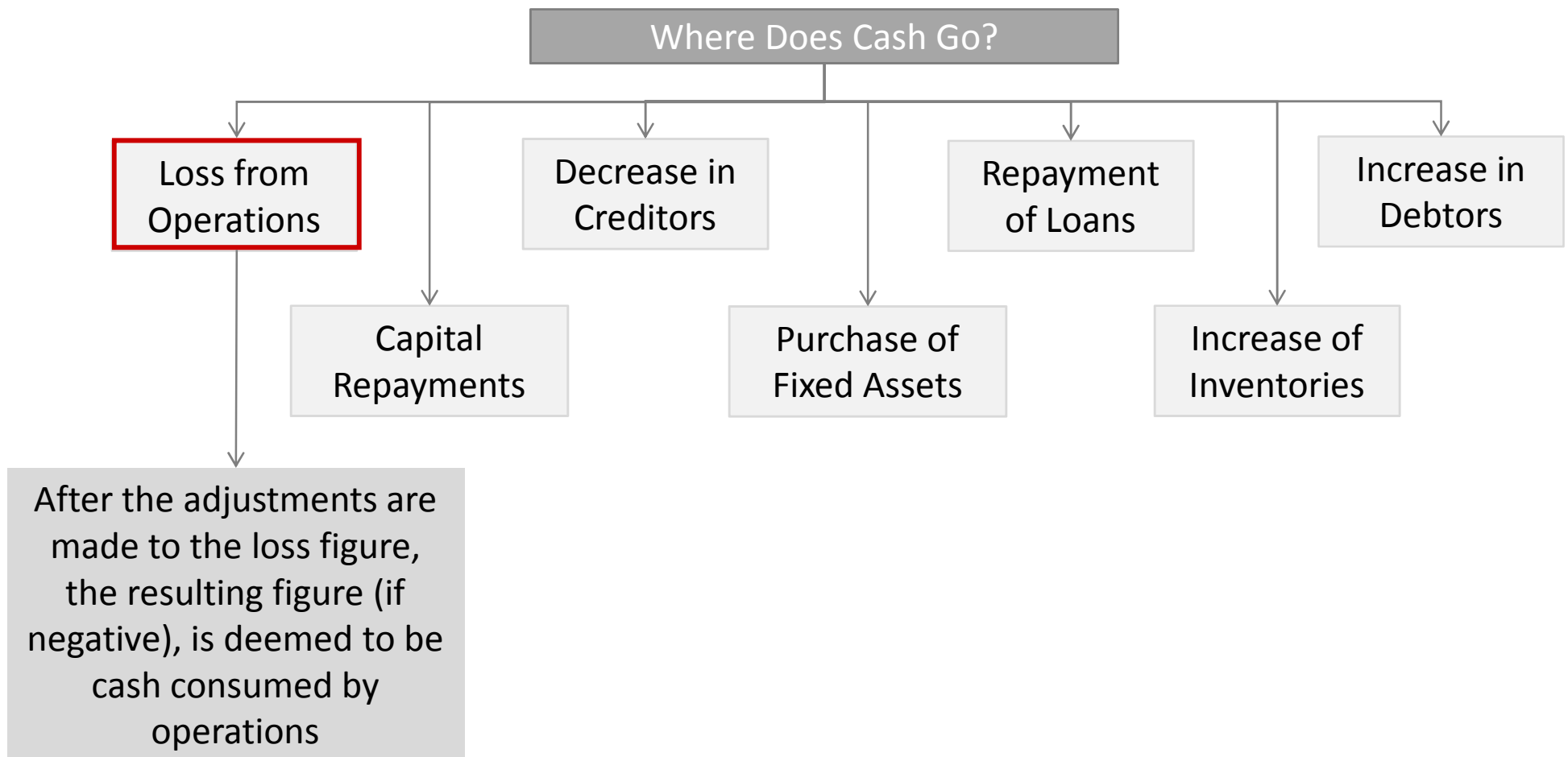


When a company lowers its pile of inventories it releases cash tied up in these items

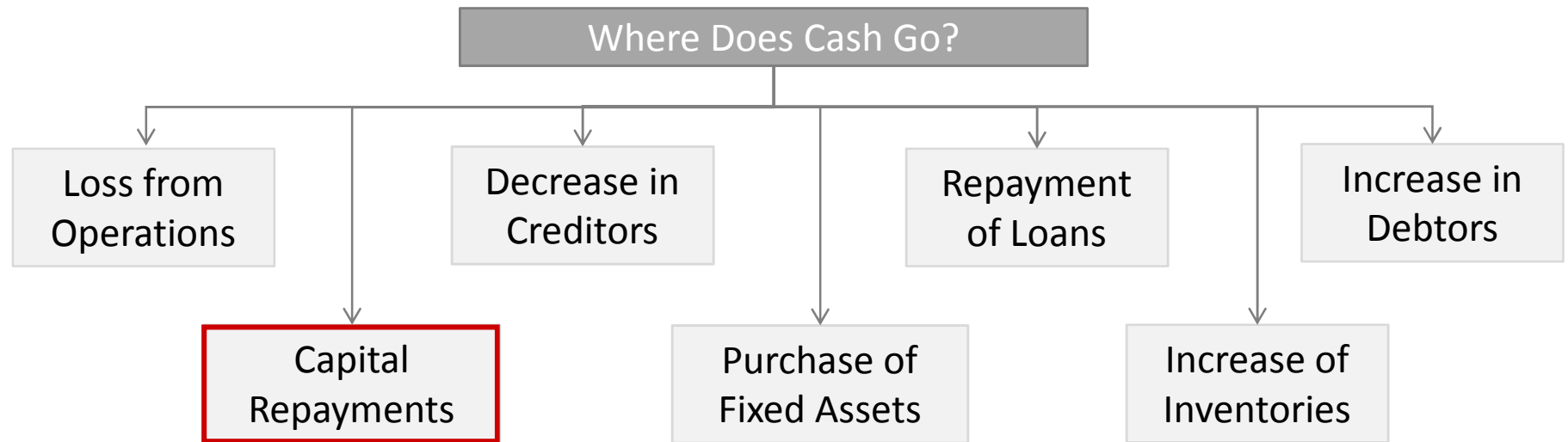
Possible sources of cash (Continued)



You can think of cash outflow items as opposites to cash inflow items

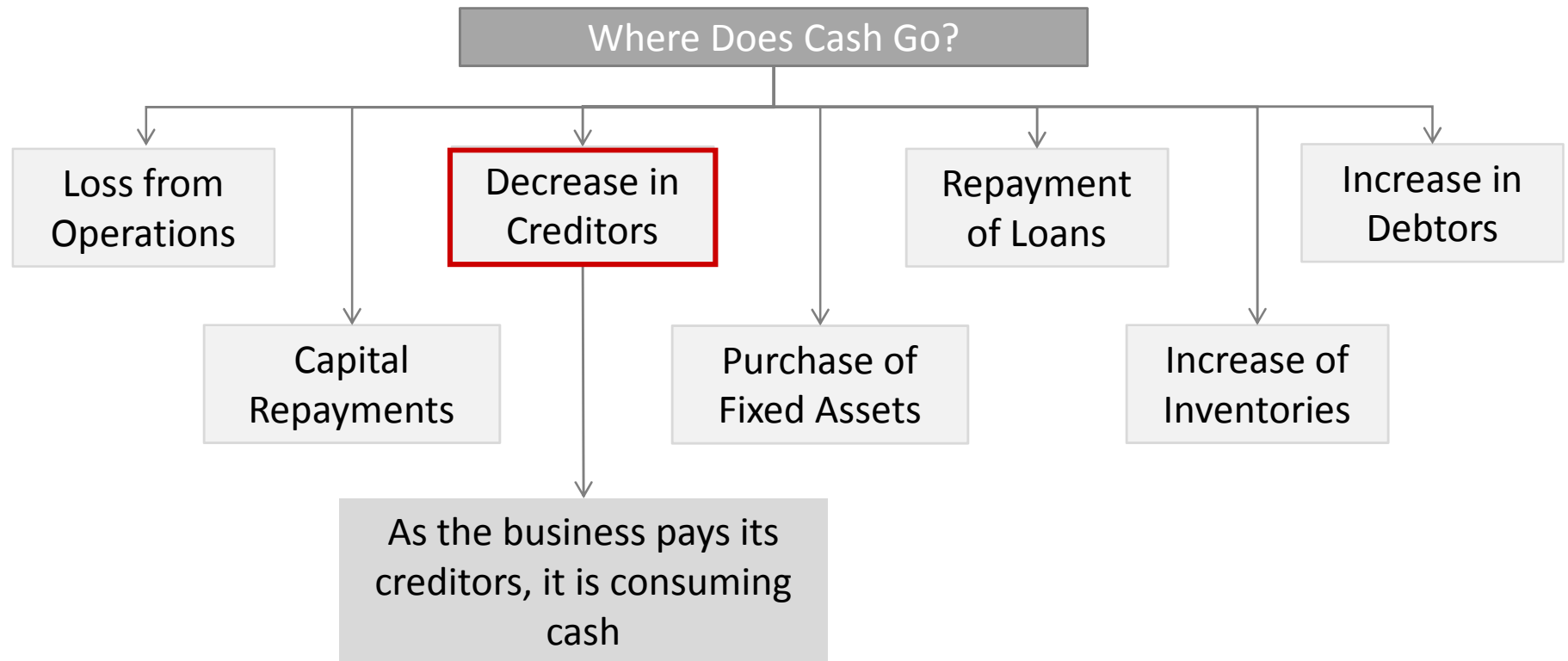


Possible uses of cash

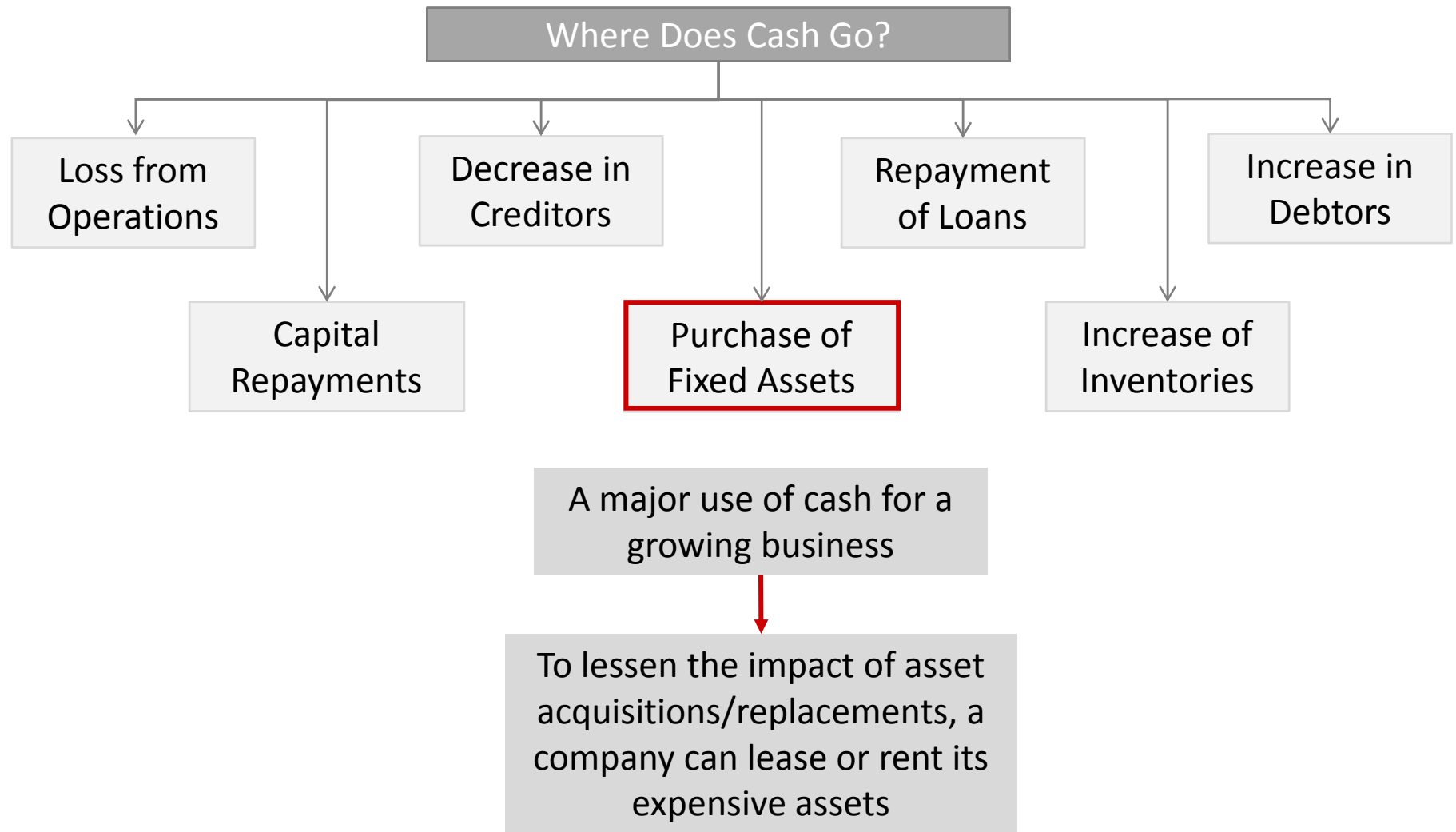


A company may decide to use some of its spare cash to buy its own shares, thus reducing its capital base

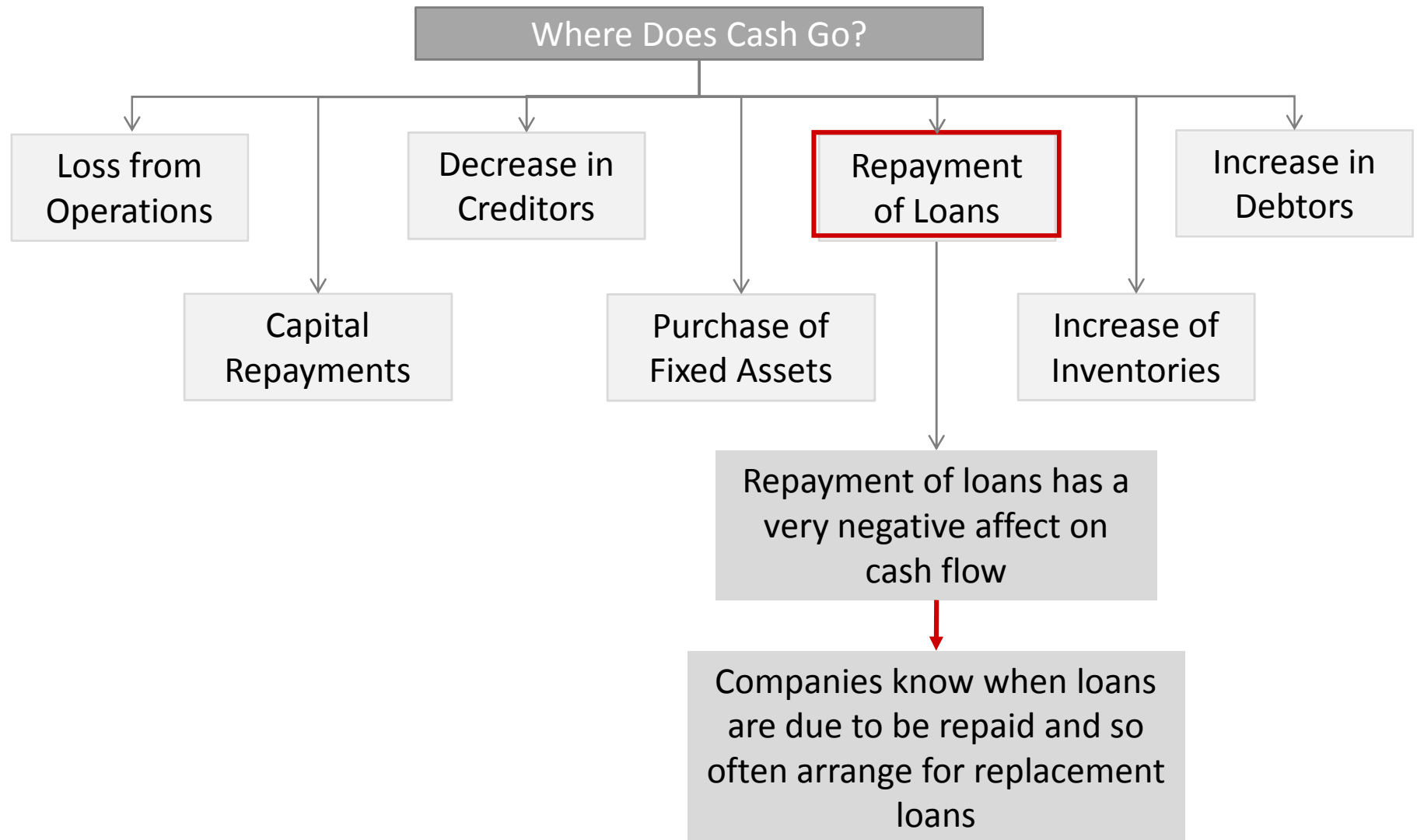
Possible uses of cash (Continued)



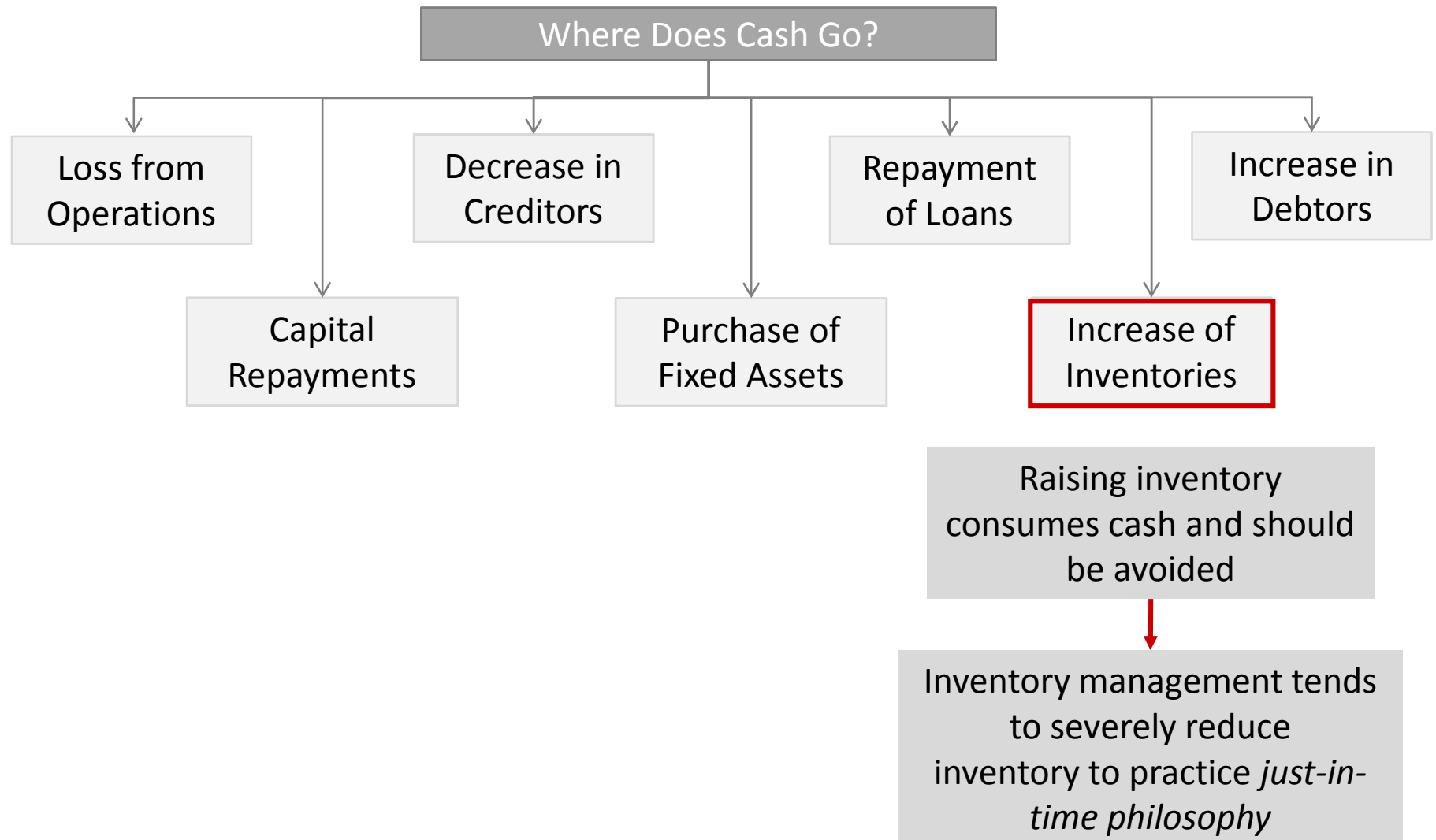
Possible uses of cash (Continued)



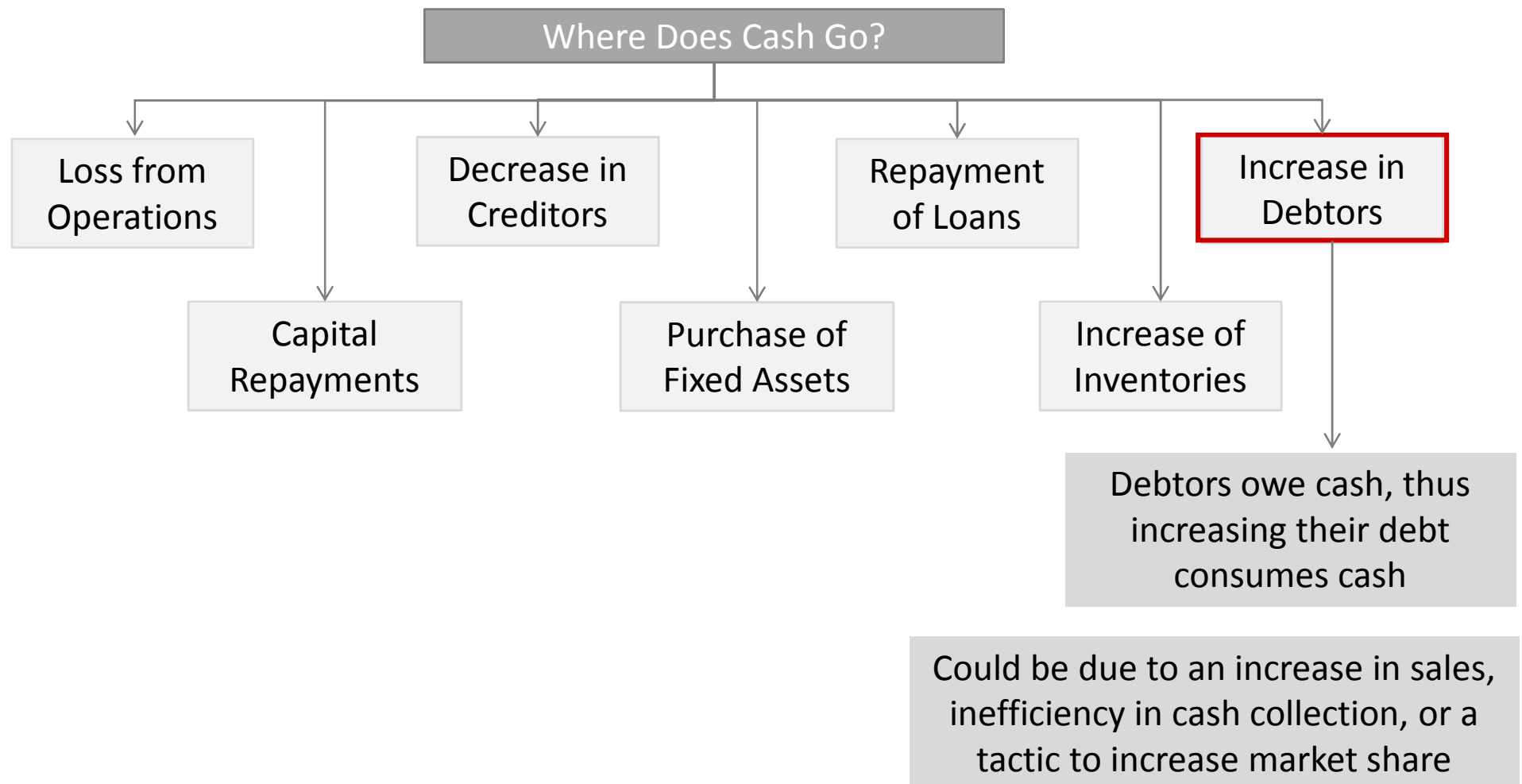
Possible uses of cash (Continued)



Possible uses of cash (Continued)



Possible uses of cash (Continued)



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Case Studies

The various sources and uses of cash set out above can be regrouped into eight categories

Eight Categories:

- 1 Cash flow from operating activities
- 2 Cash flow from returns on investments and servicing of finance
- 3 Taxation
- 4 Capital investment
- 5 Acquisitions and disposals
- 6 Equity dividends paid to shareholders
- 7 Management of liquid resources
- 8 Financing

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Should be the *primary* source of cash

Changes in inventories

Changes in debtors

Changes in creditors

The various sources and uses of cash set out above can be regrouped into eight categories (Continued)

Eight Categories:

1 Cash flow from operating activities

2 Cash flow from returns on investments and servicing of finance

3 Taxation

4 Capital investment

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Cash received from investments
in other entities

Cash paid out in dividends to
non-equity shareholders

Dividends paid to Minority
interest

Interest on borrowed money

The various sources and uses of cash set out above can be regrouped into eight categories (Continued)

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Tax paid during the accounting period

The various sources and uses of cash set out above can be regrouped into eight categories (Continued)

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Receipts from sales or disposals

Payments to acquire PP&E

The various sources and uses of cash set out above can be regrouped into eight categories (Continued)

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Purchases and sales of
subsidiaries

Associated companies

Joint ventures

The various sources and uses of cash set out above can be regrouped into eight categories (Continued)

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Eight Categories:

- 1** Cash flow from operating activities
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- 4** Capital investment
- 5** Acquisitions and disposals
- 6** Equity dividends paid to shareholders
- 7** Management of liquid resources
- 8** Financing

Cash flows arising from current asset investments (government securities)

The various sources and uses of cash set out above can be regrouped into eight categories (Continued)

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Focus on other side of the balance sheet

Movements in debt

Movements in shareholders' funds

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In order to draw up a cash flow statement we need four pieces of data

These include:

Profit and loss account for the period

Balance sheet at the beginning of the period

Balance sheet at the end of the period

Supplementary notes

Worked Example with Commentary

Profit and loss account for the year ended 31 March 20x2 (in abbreviated form)

	€
Profit on ordinary activities before tax	14 450
Tax on ordinary activities	5 175
	<u>9 275</u>
Proposed dividend	3 000
Retained profits	<u><u>6 275</u></u>

Worked Example with Commentary (Continued)

Supplementary Notes

In calculating profit on ordinary activities, a depreciation charge of €2600 has been made. Also included in profit on ordinary activities is the loss on sale of plant and machinery for €500, which had originally cost €5400 and which had been depreciated at the time of sale by €4500

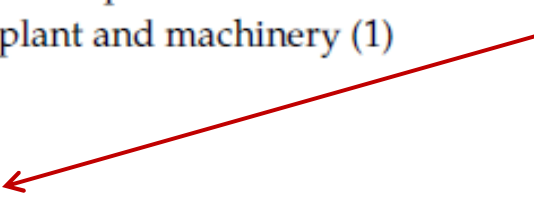
	at 31 March 20x1			at 31 March 20x2		
	€	€	€	€	€	€
Fixed assets						
Plant & machinery		40 625			35 225	
Less: Depreciation		15 175	25 450		13 275	21 950
Current assets						
Inventories		22 925			30 100	
Debtors	10 100			15 775		
Less: Provision for bad debts	400	9 700		725	15 050	
Bank and Cash		20 050			4 700	
		52 675			49 850	
Current liabilities						
Creditors	5 675			3 600		
Taxation	9 950			5 175		
Proposed dividends	10 000	25 625		3 000	11 775	
Net current assets			27 050			38 075
Total assets less current liabilities			52 500			60 025
Long-term loan			(7 500)			–
			45 000			60 025
Shareholders' equity						
Issued share capital		25 000			33 750	
Retained profits		20 000			26 275	
			45 000			60 025

Worked Example with Commentary (Continued)

Calculations required for cash flow statement

Adjustments to profit from operations:	€	€
Profit on ordinary activities before tax		14 450
<i>Add back</i> items that do not affect cash:		
Depreciation	2 600	
Increase in bad debts provision	325	
Loss on sale of plant and machinery (1)	<u>400</u>	<u>3 325</u>
		17 775

: Loss on sale of plant and machinery	€
Original cost	5 400
Depreciation	<u>4 500</u>
Book value at time of sale	900
Loss on sale	<u>400</u>
Sale proceeds	<u>500</u>



Worked Example with Commentary (Continued)

Calculations required for cash flow statement (Continued)

Adjustments to working capital:

Increase in inventories

Increase in debtors (2)

Decrease in creditors

Cash flow from operating activities

(7 175)	
(5 675)	
<u>(2 075)</u>	<u>(14 925)</u>
	<u>2 850</u>



- *Different than the actual debtors figure in the balance sheet*
- *Provision for bad debts should be ignored*

Worked Example with Commentary (Continued)

Cash flow statement for year ended 31 March 20x2

	€	€
Net cash flow from operating activities		2 850
Returns on investment and servicing of finance		
(No entry under this heading. Dividends paid to equity shareholders included below)		–
Taxation		(9 950)
Capital expenditure		
Disposal of tangible fixed assets		500
Acquisitions and disposals		
(No entry under this heading)		–
Equity dividends paid		(10 000)
Management of liquid resources		
(No entry under this heading)		–
Financing		
Issue of shares	8 750	
Repayment of loan	(7 500)	1 250
Decrease in cash	<u> </u>	<u>(15 350)</u>

Worked Example with Commentary (Continued)

Commentary on Cash flow statement

1 This company has a serious cash flow problem

2 Cash flow of working capital movements was negatively influenced

→ Increased inventories

→ Increased debtors

→ decreased creditors

3 The dividend of €10,000 refers to last year's dividend

→ Cash from operations of €2,850 for the year ended 31 March 20x2 was inadequate to meet the cash required to pay last year's dividend

→ Dividend declared on this year's profits, namely €3,000, will be paid during the year to 31 March 20x3

Worked Example with Commentary (Continued)

Commentary on Cash flow statement

4

Issuing new shares assists the company cash flow position

If they weren't issued, the cash flow problems facing this company are even worse than indicated by a further €8,750

5

Loan Repayment

It would have been better if the company's loan had been replaced by a new loan or deferred to a later period

6

The final figure of (€15,350) is reconciled with the fall in cash level between the opening and closing balance sheets

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Do-it-Yourself Example

Profit and loss account for year ended 30 June 20x2

	€	€
Gross profit		44 439
<i>Add:</i> Profit on sale of plant and equipment		<u>855</u>
		45 294
<i>Less:</i> Expenses		
Maintenance	2 385	
Depreciation on plant and equipment	1 635	
Wages and salaries	13 185	
Bad debts	510	
Increase in provision for bad debts	180	
General expenses	<u>3 216</u>	<u>21 111</u>
Net profit		<u>24 183</u>

This example is concerned with the financial affairs of a sole trader, not a company

Do-it-Yourself Example (Continued)

Balance sheets for years ended 30 June 20x1 and 30 June 20x2

	30 June 20x1		30 June 20x2	
	€	€	€	€
Fixed assets				
Plant & equipment at cost	16 800		10 800	
<i>Less: Depreciation</i>	<u>6 240</u>	10 560	<u>4 470</u>	6 330
Current assets				
Inventories	15 443		25 725	
Debtors <i>less</i> provision for bad debts	7 785		5 070	
Bank and cash	<u>2 352</u>		<u>3 173</u>	
	25 580		33 968	
Current liabilities				
Creditors	4 155		4 380	
Net current assets		<u>21 425</u>		<u>29 588</u>
Total assets <i>less</i> current liabilities		31 985		35 918
Long-term loan		<u>9 000</u>		<u>7 500</u>
		<u>22 985</u>		<u>28 418</u>
Owner's equity				
Opening balance	18 365		22 985	
Net profit for year	<u>21 120</u>		<u>24 183</u>	
	39 485		47 168	
<i>Less: Drawings</i>	<u>16 500</u>	<u>22 985</u>	<u>18 750</u>	<u>28 418</u>

Do-it-Yourself Example (Continued)

Calculations required for cash flow statement

Adjustments to profit from operations:	€	€
Profit on ordinary activities before tax		24,183
<i>Add back/deduct items that do not affect cash:</i>		
Depreciation	1,635	
Increase in bad debts provision	180	
Profit on sale of plant and equipment	(855)	960
		25,143
Adjustments to working capital:		
Increase in inventories	(10,282)	
Decrease in debtors	2,535	
Increase in creditors	225	(7,522)
Cash flow from operating activities		17,621

Do-it-Yourself Example (Continued)

Cash flow statement for year ended 30 June 20x2

Net cash flow from operating activities	17,621
Returns on investments and servicing of finance	—
Taxation	—
Capital expenditure	—
Disposal of plant and equipment	3,450
Acquisitions and mergers	—
Equity dividend paid	—
Drawings taken by proprietor	(18,750)
Management of liquid resources	—
Financing	
Long-term loan repaid	(1,500)
Increase in cash	821

Do-it-Yourself Example (Continued)

Comments

Proprietor's Drawings $\xrightarrow{\text{Corporate Equivalent}}$ Equity Dividends to shareholders

Remember:

- Market Share is **VANITY**
- Profit is **SANITY**
- Cash Flow is **REALITY**

Multiple Choice Questions

4.1 Which of the following is correct?

- A. A balance sheet reports the flow of resources through an accounting period.
- B. A profit and loss account reports an inventory of resources at the end of an accounting period.
- C. A cash flow statement reports on the claims against a company's resources at the end of an accounting period.
- D. A cash flow statement provides a reconciliation between profits and cash.

Multiple Choice Questions (Continued)

4.2 Which of the following items in a profit and loss account involves a direct movement of cash within an accounting period?

- A. Depreciation.
- B. Decrease in provision for bad debts.
- C. Taxation.
- D. Loss on disposal of fixed assets.

Multiple Choice Questions (Continued)

4.3 Which of the following defines 'Cash', as applied in a cash flow statement?

- A. Cash balances only.
- B. Cash and bank balances plus temporary investments of cash.
- C. Cash and bank balances only.
- D. Bank balances plus temporary investments of cash.

Multiple Choice Questions (Continued)

The following information applies to Questions 4.4–4.5.

The following information has been obtained from the accounting records of Company A and Company B for the year ended on 30 June:

	Company A	Company B
	€	€
Profit (after depreciation)	12 500	15 500
Fixed assets	50 000	45 000
Depreciation policy	20% pa	10% pa

4.4 What is the cash flow from operations for Company A?

- A. €2,500.
- B. €12,500.
- C. €22,500.
- D. €62,500.

	€
Profit after depreciation	12 500
Add back: Depreciation	
–€50 000 × 20%	10 000
	<u>22 500</u>

Multiple Choice Questions (Continued)

4.5 What is the cash flow from operations for Company B?

- A. €4,500.
- B. €11,000.
- C. €15,500.
- D. €20,000.

	€
Profit after depreciation	15 500
<i>Add back:</i> Depreciation	
–€45 000 × 10% pa	4 500
	20 000

Multiple Choice Questions (Continued)

4.6 Which of the following is a source of cash?

- A. Increase in authorized share capital.
- B. Decrease in creditors.
- C. Increase in debtors.
- D. Sale of fixed assets.

Multiple Choice Questions (Continued)

4.7 Which of the following is not a source of cash?

- A. Purchase of fixed assets.
- B. Subscription for share capital.
- C. Decrease in debtors.
- D. Proceeds from issue of loan stock.

Multiple Choice Questions (Continued)

4.8 Which of the following is a use of cash?

- A. Decrease in inventories.
- B. Increase in creditors.
- C. Increase in debtors.
- D. Sale of fixed assets.

Multiple Choice Questions (Continued)

4.9 Which of the following is not a use of cash?

- A. Repayment of loan stock.
- B. Profit from operations.
- C. Purchase of fixed assets.
- D. Losses from operations.

Multiple Choice Questions (Continued)

4.10 In a cash flow statement, which of the following is included in the category 'Cash flow from operating activities'?

- A. Payment of dividends.
- B. Increase in inventories.
- C. Purchase of fixed assets.
- D. Investment in an associated company.

Multiple Choice Questions (Continued)

4.11 In a cash flow statement, which of the following is included in the category 'Cash flow from returns on investment and servicing of finance'?

- A. Overdraft interest.
- B. Profit on ordinary activities before taxation.
- C. Sale of a subsidiary company.
- D. Increase in debtors.

Multiple Choice Questions (Continued)

4.12 In a cash flow statement, which of the following is included in the category 'Capital investment'?

- A. Investment in a joint venture company.
- B. Disposal of fixed assets.
- C. Dividends received from associated companies.
- D. Purchase of a subsidiary company.

Multiple Choice Questions (Continued)

4.13 In a cash flow statement, which of the following is included in the category 'Acquisitions and disposals'?

- A. Disposal of fixed assets.
- B. Purchase of fixed assets.
- C. Repayment of loan stock.
- D. Investment in an associated company.

Multiple Choice Questions (Continued)

4.14 In a cash flow statement, which of the following is included in the category 'Financing'?

- A. Increase in overdraft balances.
- B. Depreciation.
- C. Repayment of loan stock.
- D. Loan interest paid.

Multiple Choice Questions (Continued)

The following information applies to Questions 4.15–4.16.

The following amounts were extracted from a company's balance sheet at year ends:

	20x0	20x1
	€	€
Inventories	54 000	36 000
Debtors	36 000	48 000
Creditors	26 000	18 000
Cash at bank	–	28 000
Bank overdraft	4 000	–
Plant	10 000	12 000

4.15 If a cash flow statement is prepared for 20x1, what will be the movement in the cash balance?

- A. –€4,000
- B. –€32,000
- C. +€24,000
- D. +€32,000**

	€
20x0 – Bank overdraft	4 000
20x1 – Cash at bank	28 000
	<u>+ 32 000</u>

Multiple Choice Questions (Continued)

4.16 If the company's profit for the year was €27,000, what was the total amount of net cash flow from operations?

A. €23,000.

B. €25,000.

C. €27,000.

D. €29,000.

	€	€
Profit before tax		27 000
Adjustments to working capital		
Decrease in inventories	18 000	
Increase in debtors	(12 000)	
Decrease in creditors	(8 000)	
		(2 000)
		<u>25 000</u>

Multiple Choice Questions (Continued)

4.17 For its financial year to 31 March, ZB Products Limited had earned a profit on ordinary activities (before taxation) of €10,000. Further information is also available:

- i. The company's bad debt provision had already been reviewed and reduced by €500 at the year-end.
- ii. There had been a gain of €700 on the sale of a motor vehicle.
- iii. Depreciation amounted to €3,000 for the year.

In a cash flow statement, what is the total of profit before tax plus items added back?

A. €11,800.

B. €12,800.

C. €13,200.

D. €14,200.

	€	€
Profit before tax		10 000
<i>Add back: Non-cash items</i>		
Depreciation	3 000	
Reduction in bad debts provision	(500)	
Gain on sale of motor vehicle	(700)	
		1 800
		11 800

Multiple Choice Questions (Continued)

The following information applies to Questions 4.18–4.19.

From a company's balance sheets for 20x0 and 20x1, the following data have been extracted:

	20x1	20x0
	€	€
Fixed assets	80 000	65 000
Inventories	75 000	42 000
Debtors	89 000	72 000
Cash at bank	10 000	2 000
Creditors	73 000	21 000

The depreciation charge for 20x1 amounted to €16,000. Fixed assets with a net book value of €3,000 were sold during the year.

Multiple Choice Questions (Continued)

4.18 In a cash flow statement, what is the effect of the total amount of the 'Adjustments to working capital' on the cash flow from operating activities?

- A. A decrease of €2,000.
- B. An increase of €2,000.
- C. An increase of €6,000.
- D. A decrease of €36,000.

	€
Adjustments to working capital	
Increase in inventories	(33 000)
Increase in debtors	(17 000)
Increase in creditors	52 000
Therefore, increase in working capital	<u>2 000</u>

Multiple Choice Questions (Continued)

4.19 What is the total amount of purchases of fixed assets during 20x1?

- A. €25,000.
- B. €28,000.
- C. €31,000.
- D. €34,000.

	€
Fixed assets (at 20x0)	65 000
Less: Depreciation	(16 000)
Assets sold	(3 000)
	46 000
Fixed assets (at 20x1)	80 000
Therefore, purchases of fixed assets	
	34 000

Multiple Choice Questions (Continued)

4.20 A company is considering various options to improve its cash inflows, including actions to:

- i. reduce debtors;
- ii. increase creditors;
- iii. increase inventories;
- iv. increase capital expenditure.

Which of the following will result in an increase in cash inflows?

- A. (i) and (ii) only.
- B. (i) and (iii) only.
- C. (i), (iii) and (iv) only.
- D. (ii), (iii) and (iv) only.

Multiple Choice Questions (Continued)

4.21 The operating profits generated by a business over an accounting period will always equal the change in cash balances between the start and the end of the period. True or false?

False

Multiple Choice Questions (Continued)

4.22 A loss from operations will always result in a reduction in cash balances. True or false?

False

Case Study 4.1

The Managing Director of LMP Products Limited has been reviewing the balance sheets for 20x0 and 20x1. There are several factors puzzling him. The bank balance has deteriorated over the year, yet profits were earned instead of the losses of 20x0. His creditors are lower than ever before and the shareholders had even subscribed for a further €2,000 of ordinary shares. The balance sheets are as follows:

	20x0		20x1	
	€	€	€	€
Fixed assets		9 606		15 300
Current assets				
Inventories	4 680		7 920	
Debtors	3 920		7 640	
Cash at bank	2 720		–	
	<u>11 320</u>		<u>15 560</u>	
Current liabilities				
Creditors	5 920		3 326	
Bank overdraft	–		1 240	
	<u>5 920</u>		<u>4 566</u>	
Net current assets		5 400		10 994
		<u>15 006</u>		<u>26 294</u>
Ordinary share capital		7 500		9 500
Profit and loss account		7 506		16 794
		<u>15 006</u>		<u>26 294</u>

Case Study 4.1

Additional Information

The profit for the year was €9,288 (20x0 – loss €3,500) after charging depreciation of €3,706.

Required

You have been asked to explain to the Managing Director the reasons for the deterioration in the cash position by preparing a cash flow statement for 20x1.

Case Study 4.1 (Solution)

Notes	€	€
1 Profit before taxation		9 288
<i>Add back:</i> depreciation		3 706
		<u>12 994</u>
Adjustments to working capital		
Increase in inventories (€7920 – €4680)	(3 240)	
Increase in debtors (€7640 – €3920)	(3 720)	
Decrease in creditors (€5920 – €33 326)	<u>(2 594)</u>	
		<u>(9 554)</u>
Net cash flow from operating activities		<u>3 440</u>
2 Purchase of fixed assets		
Net book value at 31 December 20x0		9 606
<i>Less:</i> Depreciation		<u>3 706</u>
		5 900
Net book value at 31 December 20x1		<u>15 300</u>
Purchase of fixed assets (therefore)		<u>9 400</u>

Case Study 4.1 (Solution)

3	Issue of shares	
	Ordinary share capital at 31 December 20x0	7 500
	Ordinary share capital at 31 December 20x1	<u>9 500</u>
	Increase	<u>2 000</u>
4	Decrease in cash	
	Bank overdraft at 31 December 20x1	1 240
	Cash at bank at 31 December 20x0	<u>2 720</u>
	Decrease in cash	<u>3 960</u>

Case Study 4.1 (Solution)

LMP Products Cash Flow Statement

Year ended 31 December 20x1	Notes	€
Net cash flow from operating activities	(1)	3 440
Capital expenditure		
Purchase of fixed assets	(2)	(9 400)
Financing		
Issue of shares	(3)	<u>2 000</u>
Decrease in cash	(4)	<u>(3 960)</u>

Case Study 4.2

The directors of Exmouth Trading Limited have been reviewing the company's balance sheet for the year just ended at 30 April 20x1. They are intrigued with the apparently strange combination of circumstances which have seen the company incur significant losses in the year to April 20x1 and also move from an overdraft at April 20x0 to positive cash balances at April 20x1.

The summary profit and loss accounts for 20x1 (and 20x0) are as follows:

	20x1	20x0
	€000	€000
Sales	250	270
Cost of sales	220	120
Gross profit	30	150
Selling and distribution costs	(70)	(85)
Administrative expenses	(96)	(60)
Operating (Loss)/Profit	(136)	5

Case Study 4.2 (Continued)

The balance sheets for 20x1 and 20x0 are as follows:

	20x1 €000	20x0 €000
Fixed assets	50	100
Current assets		
Inventories	46	100
Debtors	55	72
Cash at bank	20	–
	121	172
Current liabilities		
Creditors	75	45
Bank overdraft	–	25
	75	70
Net current assets	46	102
Total assets less Current liabilities	96	202
Capital and reserves		
Ordinary share capital	100	70
Profit and loss account	(4)	132
	96	202

Case Study 4.2 (Continued)

Further information is also available:

1. The loss for the year included a depreciation charge of £10 000.
2. There were no purchases of fixed assets during the year to 30 April 20x1.
3. There were no gains or losses on disposal of fixed assets during the year.
4. There were no taxation charges or dividend payments in the year.

Required

Prepare a cash flow statement for the year to 30 April 20x1 and comment on any significant movements in cash over the year.

Case Study 4.2 (Solution)

Notes	€000	€000
1 Loss on ordinary activities (€132 – €(4))		(136)
<i>Add back:</i> depreciation		10
		<u>(126)</u>
Adjustments in working capital		
Decrease in inventories (€100–€46)	54	
Decrease in debtors (€72–€55)	17	
Increase in creditors (€75–€45)	30	
	<u> </u>	101
Net cash flow from operating activities		<u>(25)</u>
2 Disposal of fixed assets		
Net book value at 30 April 20x0		100
<i>Less:</i> Depreciation		(10)
		<u>90</u>
Net book value at 30 April 20x1		50
Disposal of fixed assets (therefore)		<u>40</u>

Case Study 4.2 (Solution)

3 Issue of shares

Ordinary share capital at 30 April 20x1	100
Ordinary share capital at 30 April 20x0	<u>70</u>
Increase	<u>30</u>

4 Increase in cash

Cash at bank at 30 April 20x1	20
Bank overdraft at 30 April 20x0	<u>(25)</u>
Increase in cash	<u>45</u>

Case Study 4.2 (Solution)

Exmouth Trading Limited Cash Flow Statement

Year ended 30 April 20x1	Notes	€000
Net cash flow from operating activities	(1)	(25)
Capital expenditure		
Disposal of fixed assets	(2)	40
Financing		
Issue of shares	(3)	30
Increase in cash	(4)	<u>45</u>

Comments

Despite the high loss on operations of €136 000 and the accompanying cash drain, the net positive movement in cash has been achieved due to a combination of:

- tight control on inventories (down by 54 per cent);
- effective credit control resulting in reduced debtors;
- stretching payment times to creditors;
- disposal of surplus fixed assets;
- raising further funds from shareholders.